Atchison

June 2025

Monthly Market Update

Illuminating
the way forward

Key Events in June 2025

June saw steady gains in equities and easing inflation, amid ongoing global trade and growth risks.

- Median growth superannuation funds are expected to return around +10% for the year to June 2025 (FY25).
- The Australian share market rose for a third straight month in June, up +1.5% for the month, +16% since April, and +14% over the year, led by technology and financials.
- Top-performing stocks for the year included Sigma Healthcare (+142%), Technology One (+110%), Zip Co (+110%), Pro Medicus (+100%), and Commonwealth Bank of Australia (CBA) (+50%).
- International shares gained +2.4% (unhedged) in June and +19% over the year, driven by stronger earnings and easing political tensions.
- US shares led global markets, returning +5.9% in June and +13% over the year, fuelled by technology and healthcare sectors.
- Emerging markets (EMs) rose +4% in June, outpacing developed markets, supported by a weaker US dollar, easing trade tensions, solid fundamentals, and attractive valuations.
- Australia's economy remained resilient, with stable inflation, strong labour market, and proactive fiscal and migration policies.
- GDP grew +0.2% quarter-on-quarter (q-o-q) in Q1, slightly below the +0.4% forecast, marking the 14th consecutive quarter of growth; the Organisation for Economic Co-operation and Development (OECD) trimmed its 2025 forecast from 1.9% to 1.8%.
- Inflation eased to 2.1% in May from 2.4% in April, nearing the Reserve Bank of Australia's (RBA) 2–3% target range, with falling petrol prices a key factor.
- The labour market stayed firm, with job vacancies up +2.9% over the three months to May (339,400 vacancies); private sector jobs rose +3.2% and public sector +0.6%.
- Household net worth climbed to A$17.3 trillion in Q1, from A$16.2 trillion a year earlier, driven by property +5.9%, super +6.6% and equities +8%.
- Business and consumer sentiment improved modestly; NAB Business Confidence Index rose to +2 in May, its first positive reading since January.
- The global economy faced persistent risks in June, rising trade tensions, geopolitical conflicts, and shifting capital flows.
- The World Bank cut its 2025 global growth forecast to 2.3%, citing tariffs and uncertainty as major headwinds.
- President Trump's on-off tariff hikes lifted US tariff rates from under 3% to mid-teens, near century highs, triggering retaliatory measures from China and others.
- Eurozone Gross Domestic Product (GDP) growth was revised down to 0.9% for 2025 amid trade tensions; inflation is expected to average 2.0% before easing to 1.6%.
- The European Central Bank (ECB) cut rates by 0.25% in June, lowering its deposit rate to 2%, after inflation fell below its target.
- Russia warned European Union (EU) sanctions would harm Europe's economy, while noting Russia's stronger recent growth relative to the EU.
- A weaker US dollar has sparked renewed demand for EM assets; EM local currency bonds saw 8 straight weeks of inflows and over 10% returns year-to-date (YTD).
- The World Bank maintained China's 2025 growth forecast at 4.5%, citing ample policy tools to support growth.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 30 June 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	1.5	9.5	13.8	13.5	11.8	8.7
Australian Small Companies	1.6	8.2	11.3	9.1	6.8	7.0
International Shares (Unhedged)	2.4	6.0	18.6	20.4	15.8	12.6
International Shares (Hedged)	3.8	10.2	12.7	16.7	13.8	10.2
Emerging Markets (Unhedged)	4.1	7.7	16.5	10.5	6.7	5.6
Australian Property Securities	0.9	10.5	22.6	12.2	10.5	8.1
Global Property Securities (Hedged)	0.2	1.6	8.0	1.5	4.0	
Global Listed Infrastructure (Hedged)	0.3	1.8	15.6			
Australian Bonds	1.0	2.6	6.9	3.8	-0.2	2.1
Global Bonds (Hedged)	0.9	1.2	4.8	1.9	-1.3	
Cash	0.3	1.0	4.5	4.0	2.4	
Change over the month						
AUD/USD	1.77%	US$ 0.6550				

Past performance is not a reliable indicator of future performance.
Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

In June, the Australian share market returned +1.5% and a solid +14% for the year, as loosening labour market and easing inflation helped reinforce further rate cuts from the RBA. This upward movement contributed to the index an all-time high earlier in the month, reinforcing the resilience of Australian equities, despite intermittent volatility.

The technology sector led the share market returning +6.2% for the month and +49.5% for the year, driven by advancements in artificial intelligence (AI) and digital transformation initiatives.

Energy minerals increased over the month by +2.4%, supported by gold prices and sustained demand for lithium and rare earth elements. Financials had a strong year (on the back of CBA) returning +28.2%.

The strong performance over the past year was primarily driven by significant contributions from sectors such as healthcare and consumer discretionary. Notable companies like CSL, Wesfarmers, and JB Hi-Fi played pivotal roles in this growth.

The worst performing sectors were Materials -3.1%, Consumer Staples -2.3%, and Healthcare -1.0%. Large iron ore miners BHP and RIO, and gold producers Northern Star Resources and Evolution Mining were the main detractors over the month.

While the Australian share market exhibits resilience, supported by sectors like gold and technology, challenges persist in the form of global trade uncertainties and domestic economic pressures. The anticipated RBA rate cuts may offer support, but ongoing caution is needed amid an evolving economic landscape.

The estimated price to earnings (P/E) ratio for the ASX 200 rose to 19.5x, the long-term average is 14.7x, indicating that the ASX 200 is trading above its historical average and at relatively higher valuation. In the current market environment, this elevated ratio reflects investor optimism about future earnings growth and indicates a greater willingness to pay a premium for equities..

Global Markets

Global share markets were positive in June returning +2.4% (unhedged) and +3.8% (hedged). Developed markets returned +3.8%, but underperformed EMs by around -0.3%, as EMs returned around 4% for the month. The global share market in June was supported by the US +5.9%, while Europe and Japan lagged with -0.7% and +1.8% returns respectively. European equities still outperformed major markets YTD, followed by Chinese offshore equities, compared to US equities.

In June, both the S&P500 and NASDAQ hit record highs towards the end of the month, despite intra-month volatility being high. Asian stocks rose for a third consecutive month, with general outperformance of technology stocks. Hong Kong’s Hang Seng and Taiwan’s TAIEX, were also buoyed by renewed optimism over AI.

Equity valuations rose further in most developed markets over the month, with the forward P/E ratio on the S&P 500 rising to 22.1x, Japan to 14.9x, except Europe, which eased to 14.4x.

Bonds

Global bond markets experienced significant shifts, influenced by geopolitical tensions, fiscal policies, and investor sentiment.

Australian bonds (Bloomberg AusBond Comp 0+Y index) rose +1.0, Australian 10-year yields fell 10 basis points to 4.16% whilst US 10-year Bond yields fell 17 basis points to 4.23%. The value of bonds rise as yields fall.

Investor behaviour reflected caution. There was a significant withdrawal from US long-term bonds, with $11 billion in outflows in Q2 2025, the most substantial since the COVID-19 pandemic. Short-term bond funds saw over $39 billion in inflows, indicating a preference for shorter durations amid fiscal sustainability concerns

Long-term government bond yields increased across major economies due to heightened fiscal deficits and substantial debt issuance. US 30-year treasury yield rose to 5%, driven by concerns over a $9 trillion issuance program and a 6% budget deficit. While Japan’s 40-year government bond yield climbed by 0.8% to 3.4%, reflecting similar fiscal apprehensions. UK’s 30-year gilt yield increased by 0.3%, indicating investor caution. These movements suggest a global trend of investors demanding higher returns for holding long-term sovereign debt amid fiscal sustainability concerns.

Yields on Japanese government bonds remained stable, with the 10-year yield edging 6 basis points (BPS) lower to 1.44%. This was after the Bank of Japan’s (BoJ) announcement to slow tapering and push back on further rate hikes, despite rising core inflation.

Global investment grade bonds returned 0.9% (hedged) over the month, while global high yield bonds also posted a 2.3% gain, as lower Treasury yields and spreads helped returns.

Currencies and Commodity Markets

The Australian dollar (AUD) experienced notable movements against major global currencies, influenced by a combination of domestic economic indicators and international geopolitical developments.

The AUD appreciated +1.8% against the US dollar (USD) throughout June, reaching a peak of 0.6550 USD on June 30, marking its highest level for the year. This upward trend was primarily driven by a weakening US dollar, as investor sentiment shifted towards riskier assets following a truce between Israel and Iran. Additionally, expectations of potential interest rate cuts by the Federal Reserve, amid softening US economic data, further pressured the US dollar.

Against the euro (EUR), the AUD demonstrated relative stability. On June 30, the exchange rate stood at 0.5573 EUR, reflecting a modest position within the year's trading range. Whilst the AUD's performance against the British pound was subdued in June. On June 30, the exchange rate was approximately 0.4763 GBP. The pound's resilience was supported by the Bank of England's (BoE) cautious approach to monetary policy and relatively stable UK economic indicators.

Looking ahead, the AUD's trajectory will likely be influenced by global economic developments, including central bank policies and geopolitical events. The RBA's monetary policy decisions, in response to domestic economic conditions, will also play a crucial role in shaping the AUD's performance against major currencies.

Gold experienced a modest decline in June 2025, influenced by geopolitical events and sifting investor sentiment. Gold closed the month on US$ 3,284 per ounce down -1.8%.

Crude oil (WTI) surged 9% over the month to US$ 65/bbl on the back of conflicts within the Middle East. Despite this, Organization of the Petroleum Exporting Countries (OPEC) is considering extending production increase which may cap further gains.

Base metals (LME) index rose another +4.8% in June, while Gold nudged higher by +0.4% to US$ 3303/oz. Iron ore prices fell -3% to US$ 94.2/t for the fifth consecutive month. US tariffs and China’s steel policy remain a key focus for investors.

Outlook for Investment Markets

The first half of 2025 has been whirlwind for global markets with the introduction of tariffs, tantrums, and the tit for tat relationship between US and China. Expect more of the same for the remainder of 2025.

We are currently witnessing a change in the global order, driven by policy shifts in the US and China. The US now requires reliable allies in the supply-chain, while China is being pressured to move away from supply side stimulus towards a consumption led economy. This will result in an adjustment of capital flows around the world. The US has historically been regarded as a relatively safe haven through bouts of economic and geopolitical volatility. However, investors should consider reducing exposure to the US in favour of other regions.

US Tariffs

U.S. effective tariff rates are currently around 14%, which could lead to a resurgence in inflation—potentially pushing it up to around 3.5% this year. This raises the risk of stagflation, a scenario characterised by high inflation, a stagnant economy, and high unemployment. It is now unlikely that the U.S. Federal Reserve (Fed) will be able to cut interest rates in 2025. Investors estimated four cuts this year, now with tariff uncertainty estimates are between one and two.

Given the stagflationary risks in the US, investors are starting to broaden their investment horizons, searching for alternative shores for growth hedges. Most other central banks - Japan and Brazil aside - are in a cutting cycle. It is widely anticipated the ECB will maintain its quarterly cutting cycle towards a policy rate of 1.5% (and potentially lower if a trade war escalates). improving inflation, alongside a softer labour market in the UK, is likely to pave the way for further BoE rate cuts .

US President Trump is determined to restore manufacturing to American workers, and reduce the size of the US current account deficit by way of tariffs, while striking trade deals with friendly countries.

Likewise, China is trying to support domestic consumption and increase the size of its service economy. Over the long term, it is expected we will see a fragmentation of the world's economic, technological, and security order, as both pursue more isolationist policies.

Where to Invest?

One likely consequence of these changes is a potential rebalancing of US assets in investors' portfolios. The US dollar is most at risk, given its status as global reserve currency has fed into the twin deficits that Trump is now trying to reduce. The effectiveness of the US dollar as a hedge to equity risk is also coming under question, building on today's dollar depreciation as foreign investors lift hedge ratios.

Portfolios have become increasingly reliant on US assets over the past 25 years (US share market makes up 73% of the international equity index by allocation). Capital outflows and US dollar depreciation would result in index weightings looking different in the future. Investors that get ahead of such potential structural changes may stand to benefit as portfolios rebalance.

By contrast, the EUR could prove significant beneficiary from the repatriation of flows, while newly expansive German fiscal policy signals the potential for a revival of the region. The valuation and defensive characteristics of the Japanese yen also make this currency appealing, as gold should continue to respond well to any further geopolitical ruptures.

EM equities look relatively cheap. The market is underpinned by Chinese stocks, which have turned a corner following AI breakthroughs in the country.

Private assets including real estate offer further diversification potential. This is useful given their long-term investment horizon and active ownership in many strategies, providing investors with the ability to adjust evolving market dynamics. Investors may find alternative opportunities in real estate, especially through higher income yielding European markets which can protect against inflation, and through the value-add of 'greening' previously unsustainable buildings.

There is still room in a diversified portfolio for US equities. The S&P 500 comprises many of the world's biggest and most innovative companies, which are highly profitable and shareholder friendly. It would be unwise to bet against the US entirely; but equally it is not the only game in town.

For years, many investors have operated on a relatively stable set of assumptions: the US will lead developed market growth, policy changes are incremental, and economic disruption is cyclical. But 2025 has made it clear - we are now living in a more complex, multipolar, and unpredictable world.

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